

Oliver Reece

Professor Milano

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The Nazi Economy: Model Analysis and Critique

PART I: The Groundwork

The economic “miracle” of Nazi Germany is one that seemingly turned around the worst days of the Great Depression, and as such, often is noted as an example of a recovery. This period of time, however, was not entirely what it seemed to be. The economic stability witnessed under the Nazi regime was in fact yet another cog in their deliberate, aggressive war plan. They viewed economic activity as a means to an end, with the end goal being a strategic powerhouse function of the state, NOT domestic prosperity. From job creation, to manipulation of the markets and so much more, Nazi economic policies were all in some way subordinate to the political agenda of the regime: dominance in wartime capabilities. Nazi Germany was a war machine, utilising the power of economic policy as a weapon, in which all factors of production were structurally and financially engineered to aid in the goal of immediate war.

Nazi Germany’s war machine rested heavily upon Hitler’s ideologies, a prominent one of which envisioned military conquest as the state’s single most important economic purpose. We see this most apparently in the lust to guarantee Lebensraum: a goal made unnegotiable, forcing economic policy planning to succumb to the mitts of war. As Adam Tooze claims: “The impossibility of realizing his dreams of mass consumption came as no surprise to Hitler, certainly under Germany's circumstances in the 1930s. As far as he was concerned, economic

advancement could be secured in the long term only through the conquest of additional Lebensraum” (Tooze, 2006). Hitler ensured that economic policy was turned away from disputes of domestic consumption, free markets and international trade, but rather was weaponised as a tool of war. Thus, the entire economy was poised to assist in a mass expansion of German land “ownership”, while simultaneously backing the need to prepare to engage other major states in gruesome conflict. It was in this regard that Hitler’s obsession with the idea of Lebensraum drove the economy into becoming a weapon of wartime preparation.

The Nazi regime’s economic policies, while focused heavily on the goal of wartime domination, included strategic planning. That strategy was based on the foundational idea that rearmament and war were necessary prerequisites for Germany to secure its goals, henceforth requiring a new solution to an immediate issue: dependence upon trade for raw materials. Hitler notes in his Four Year Plan memo that in order to achieve Autarky - in which a state is wholly self-sufficient - the German borders must be expanded, and to do so, the Nazi economy must be restricted in the form of boosting iron production and restricting lesser important markets, such as the distillation of alcohol. Van Riel links this to the function of the economy: “In 1936 the guided policy of the Four Year Plans was started, and the economy was geared to the needs of war preparations” (Riel & Schram, 1993). This concept clearly outlines the notion that Hitler’s intentions were war preparation. The regime becomes hyper-fixated on the prioritisation of military readiness for war, disregarding the day-to-day normalities of everyday German citizens by redirecting resources to the expansion of heavy industry. Furthermore, the link Hitler makes directly between Autarky and Lebensraum provides further evidence that the economy was geared up entirely to be the engine of the machine that was the German military.

Mollema agrees: “The ultimate economic goal of the NSDAP was to achieve total autarky. To do so required the ability of the German nation to continually sustain and defend itself. Consequently, the principles of autarky and rearmament must be viewed as interdependent and inseparable” (Mollema, 2017). This perspective effectively aids the claim that the Nazi regime set up the economy as a tool of war as its primary function. By using the phrasing that autarky and rearmament are “inseparable”, Mollema is disregarding the claim made by many that the recovery seen in the economy was in favour of the general populace. Self-sufficiency as a goal is inherently an active requirement to guarantee a state’s ability to pursue intense conflict with foreign powerhouses of production without the reliance upon inter-state trade. This is due to the fact that once such conflict has been initiated, the foreign traders will cut-off the aggressor state in an effort to reduce the brutality and length of the war. It is here we then can further understand how the restructuring of the economy via boosting of the iron industry, synthetic fuel, and other such events, was purely a necessity for securing the realisation of the regime’s political agenda: Lebensraum. As Hitler argued himself - the state does not uphold the economy, the economy upholds the goals of the state - and in the case of Nazi Germany, the goal is war.

Nazi Germany as a regime tailored the economy to best support its political agenda of wartime power, self-sufficiency, and territorial expansion, all at the expense of firms with no war production capability, and the day-to-day engagement with the population with activities once seemed normal. Consequently, the economy recovered relatively swiftly from the Great Depression, but unlike common thought, it was due to the fixation on war preparation rather than the concern for the general wellbeing of German Citizens, consumption, nor trade. Moreover, the measures taken were done not as acts of isolationism but rather as acts of servitude to the German military, cloaked as economic reform.

PART II: Factors of Production and Trade Policy

In an economy, there are four main factors of production: Land, Labour, Technology, and Capital. This is particularly noteworthy under a regime with policies like those of Nazi Germany considering the primary goal is to produce as much as possible for the war effort. When trying to maximise production, a regime must consider their most viable production function, meaning a regime must utilise each of the four factors in such a way that output is maximised in the most efficient way. In economics, efficiency is a measure of how optimally resources are used up in relation to how beneficial the outcome is and how much excess waste is created. With this theory however, comes too a need for understanding diminishing returns. Many factors cause changes in output, but it is generally recognised that as time increases, production will eventually slow down at a non-linear rate. These concepts will be key in analysing the policies and realities of the Nazi economy.

Labour as a factor is almost certainly one of the most important factors. Without labour, an economy fails to succeed and production approaches zero. Konstantin Hierl (the Nazi official in charge of labour) seemed to understand this as he ensured total control over the German workforce. This allowed the regime to move human capital to wherever the war machine of an economy needed it the most. One of the first actions taken by the regime was the dissolving of all independent trade unions and ultimately replaced them with the centralised Reich Labour Force (RAD). The RAD removed many traditional workers' rights such as wage negotiation, strikes, and freedom in choice of work. It was essentially a paramilitary group with the goal of organising a workforce. It required all young men to complete at least six months of mandatory service, initially intended for public works but later shifted to wartime goals, such as general land preparation and maintenance for military use (Reich Labour Service, n.d.). Compulsory

labour and the potential for perfect distribution of labour dealt the Nazis the hand they needed in their plan for maximum war production. It meant that labour could legally be forced to work in factories, mining, or other heavy industry which all are key inputs for wartime machinery. It also removes the complexity of the job market in which employers no longer hire based upon profit-based goals, and workers no longer accept positions based upon salary and utility (meaning personal preference and overall happiness). Consequently, labour efficiency exploded and directly led to an explosion of equal grandeur in output. The total control of the labour market was crucial in the Nazi's economic plan and rearmament efforts, and is a perfect demonstration of the Nazis enacting economic policy with the sole intention of pursuing military prowess. They found the means to overcome typical production limitations and used it to ensure their military was as ready as possible for total warfare.

Labour was not the only factor of production that the Nazis manipulated for their agenda. Capital arguably played just as large a role as labour in this large-scale rearmament effort. Capital specifically refers to two categories of items within an economy: goods used to produce other goods (such as machines and equipment) or monetary-based goods such as cash. Similarly to labour, the government had to find some method of circumnavigating the pre-existing system and its laws to boost capital efficiency. Specifically, there were banking laws prohibiting the central bank from financing the government directly for more than roughly RM 100 million. Moreover, the central bank had limitations set on it as to how many bills they could discount if they had 2 "good signatures" on them (Haas et al., 2024). Bills of exchange are essentially mandates that force a legal entity (whether that be a bank, government, person, etc) to pay a set amount to another designated entity. It is a financial instrument commonly used as they act similarly to promissory notes. These are of note because the central bank's - the Reichsbank -

main purpose was to manage German money supply by buying short term bills of exchange which is both a tool for injecting credit into an economy, but also a form of private debt exchange that does not need to be reported as government debt. The president of the Reichsbank Hjalmar Schacht realised this, and discovered a loophole that allowed the Nazi Government to run rampant with spending without breaking any laws, which was important as a lot of the limitations had been set on Germany by the Treaty of Versailles (which led to incredible amounts of inflation prior to the Nazi regime). Schacht's solution is now commonly known as the Mefo Bill Scheme.

To bypass these limiting laws, the Nazis set-up a shell corporation named the Metallurgische Forschungsgesellschaft (MEFO). This shell corporation then issued bills of exchange which were then accepted as valid means of payment for rearmament purposes, such as tanks, planes, and ships. Because MEFO was legally a private company, it was able to finance mass amounts of these armament goals without the government ever officially over-stepping their legal boundaries. Furthermore, because bills were used, the accrued debt never was reported as public debt in official state budget reports. This tool created a secret "shadow budget" for rearmament, allowing the regime to defy the Treaty of Versailles' limitations and accelerate war preparation on a massive scale while maintaining an illusion of fiscal stability. That is all it was though - an illusion. "It is impossible, however, to give a comprehensive picture of the total debt accumulated by Germany during this period. The only complete figures available are those of the "declared" debt, i.e., the officially admitted debt, which may very well have been distorted by the Nazis" (Nathan, 1944). Commercial banks were often encouraged to buy these MEFO bills, meant to be redeemable after 6 months. Instead of being redeemed though, they contained a clause that allowed them to be continually renewed which allowed the state to indefinitely

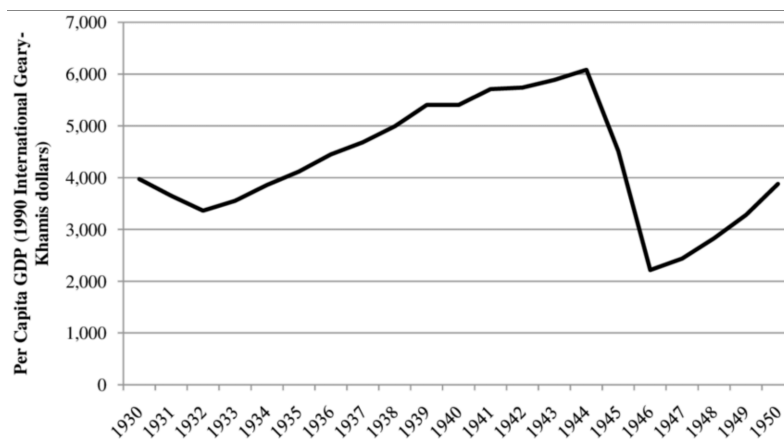
postpone the actual cash payment of their massive military spending. By concealing the true extent of the government debt, the Nazi regime was able to mask both the purpose and scale of their spending from not only ordinary German citizens but also from foreign nations concerned about another World War. Simultaneously, the increase in spending was aiding in the recovery from the depression approximately 4 years prior in the sense of continually boosting the German GDP (See Figure 1). In other words, the MEFO bill scheme directly contributed to and enabled rapid mass war preparation without unwanted scrutiny that may have led to international alarm or internal chaos. The scheme cemented the goals of the Nazi regime in that it literally restructured a key banking process within the German state such that a large-scale war could be financed and prepared for.

Labour and Capital aside, Land also plays a vital role in the optimisation of production. Land is a term referring to both the literal land available, but also to the natural/raw materials available. In the German case, raw material acquisition and utilisation was something of absolute necessity in order to meet such high war preparation demands set by the state. As such, The New Plan was introduced in 1934 and was also the brainchild of Hjalmar Schacht. His goal with The New Plan was total “control of imports and exports in order to obtain the raw materials needed for armaments and the foreign currency required to sustain the armament program.” (IMT, n.d.). To do so, he expanded the role of the system of supervisory board to include import control over all goods entering Germany and mandated licenses to import goods. Together, the regime was able to perfectly limit imports to only the goods that served to improve the German war efforts by only accepting licenses for those manufacturing/selling crucial materials. Crucial material means any good that had a direct positive impact on production of wartime weaponry, machinery, or essential civilian projects (ie. roads, other public works). Considering the

maximisation of necessary input materials, preparatory production was able to continue booming, and the economy continued to function as a machine built for the sole purpose of total all-out war.

The New Plan did not stop at procuring raw materials. It also aided in the restructuring of trade and foreign exchange as a whole. The New Plan aimed at general economic stabilisation and part of that was control over currency, specifically the flow of currency in and out of the nation. To do so, the tactic of frozen currency arrangements was used, meaning the German currency reserves were blocked from being spent outside of Germany in an attempt to maximise liquid assets like gold within the country. Such policy, unlike many others implemented at this time, is not inherently a Nazi policy. It is a common tool used when a country is in need of resetting the economy and controlling government debt. By keeping commodity goods (goods with intrinsic value) within the nation, and only permitting absolutely necessary goods into the nation, trade deals are forced to consist of two categories of items: imports of high value and exports of German manufacturing. In other words, German trade became highly mercantilist in nature. This would subsequently boost the German GDP and make the economy continue climbing during this period of post-depression recovery (See Figure 1).

Figure 1:



Explicitly, these structured foreign trade deals were highly systematically implemented bilateral barter agreements. One example of note is that of Romania. In brief terms, Romania made a deal with Germany between 1939-1940 that resulted in Romania giving Germany agricultural goods, timber, and oil. Germany provided military technology and “know-how” to the Romanian government in response. On the surface, this may pass for being mutually beneficial, however in reality, Germany isn’t providing much in comparison to the tangible assets they are receiving. It did not stop at just tangible imports though, as part of the agreement gave German companies free trade zones within Romania (German–Romanian Treaty, n.d.). Free trade zones are designated areas within a nation from which imports and exports can be traded without the usual customs and other such fees. This, while theoretically benefitting the overall Romanian economy via attracting investment and increased overall trade, is not a guarantee and the outcome is uncertain at the time at which the zone is established. Free trade zones are also prone to be havens of tax evasion and other illicit activity, which have negative effects on the host country’s economy. In other words, Romania gambled with Germany in hopes that they would gain soft power through an improved economy and stronger military minds while losing many resources essential to a wartime economy. This is one of many examples of such trade agreements brought about by the Nazi regime, and every one of them served to perpetuate Germany’s war machine via shady economic manoeuvres that benefitted Germany as much as possible such that production could continue to be maximised. In these instances, the trading nation became increasingly reliant upon Germany as a trading partner, and consequently ended up accumulating large trade surpluses that could only be spent on German goods. By converting free-market exchanges into dependency, these bilateral barter arrangements completely

transformed trade routes into secured supply chains, further providing support that the Nazi economic policy centred around using international commerce as a tool of wartime domination.

While a lot of theories were implemented successfully, arguably the clearest quantitative evidence of the Nazi economy's function as a war machine was the implementation of the "Guns vs. Butter" paradigm. This was where the government invested overwhelmingly into military production over consumer welfare, as aforementioned in the previous arguments. Quantitatively though, this shift is distinct and worth noting as some of the only "available" data from the period. Note that what data is available is not guaranteed to be free from Nazi intervention and manipulation. That being said though; "During the period of war preparations total government receipts rose slightly in relation to national income, from three-tenths to two-fifths; the amount rose, however, in the last year before the war to over 60 percent of national income. Total government revenues compared to national income have certainly been even higher than 50 percent during the war period itself, although even approximate estimates are not possible." (Nathan, 1944). Acknowledging that these are estimates due to the underreported spending and debt from the MEFO bill scheme, we can use these statistics to garner a fuller picture of just how extreme life under the regime was from an everyday citizen's financial perspective. Nathan states later in the same paragraph that "The total cost to the German people of preparing for war ranged from an estimated 1 to 2 billion reichsmarks, but the cost of waging war has, even so far, been several times this amount". With such high military spending, it becomes apparent that there is little spending on the improvement of the everyday lives of Germans, which is naturally concerning and thus led to the "Guns vs. Butter" issue. With such high military spending, there would have been very little money funnelled into food production, thus simple things like butter that were once commonplace had become hard to come-by. In addition, almost every good was

rationed, degrading the lives of the German citizens. If the regime was spending so little on the well-being and general upkeep of the population, it is apparent that the economic system in place was tailored for something other than the betterment of the populace. Instead, due to the allocation of the spending, it is clear that the economic system was built entirely around the purpose of wartime domination and perfection. The only reason for an economy to boost military spending so drastically during a time of peace is to prepare for war, especially when the same nation is simultaneously recovering from record high inflation and the results of the global economic depression. In short, by ignoring the needs of the people in order to prioritise military power, the Nazi economy was undeniably set-up to function as a tool of war.

PART III: The Flaws of a War Machine Economy

Seemingly obvious as it may be, the Nazis failed to recognise the flaws in their war machine. Their entire financial plan was essentially a singular high-stakes gamble predicated on the idea that they would win the war swiftly by being more prepared than anyone else: A blitzkrieg economic model. The Nazis hoped for short, decisive, and profitable victories that would provide Germany with more resources, thus perpetuating the turning of the cogs in the larger machine. It was also most likely hoped that these excess resources could be used to manufacture goods to be traded, subsequently financing the large accrued debt from all of the military spending. In other words, they thought the war would pay for itself, meaning the extreme military aggression was a core economic policy instead of simply a military tactic. It could, in fact, be reasoned that the military tactic was born as a result of fiscal needs.

Such military tactics proved successful towards the start of the war. After Austria (1938) and Czechoslovakia (1939) was annexed, and Poland (1939) was invaded, Germany began immediate collection of all state assets such as gold reserves. In Poland specifically, even things

like industrial assets and agricultural surplus were sent back to mainland Germany, allowing Germany to finance the war without a further strain on those industries back home. In essence, German military tactics and the economic system behaved in a cyclical manner once the war begun such that they fed off each other. The success of one became heavily reliant upon the other. This cyclical system was also designed to keep mainland Germany's population supplied and content such that there would be no civil unrest to distract from the war effort without *completely* bankrupting the regime.

That being said, this is not sustainable, as proved by the Nazis themselves. Think of the system like a person riding a bicycle on an infinitely flat road. At some point, either the tyre will go flat, or the person will tire and have to stop peddling. In either scenario, the bike stops moving down the road. The cyclist is resources available, while the tyre is military success. As the road (the war) continued, the more exhausted the resources got and the slower the war progressed. The Blitzkrieg model relied heavily on a "Use-It-Up" strategy in which the German military used up vast quantities of stockpiled resources (from both pre-war preparation and "plundered" goods). The expectation was that after each military victory, these resources would be replaced at a consistent rate. There are two main flaws with this logic: Firstly, if a conflict proves to not be quick and decisive, then the resources expended will be a larger gap to fill. Secondly, this model assumes all nations invaded will have equal resources to those used up, however given the immense (largely hidden) preparation Germany underwent for the war, it would not be probable than even the most resource-abundant nations would be able to satisfy the needs of the German war economy sufficiently.

The invasion of the Soviet Union in 1941, which failed to yield the quick, decisive victory the economic plans depended on, completely exposed this flaw. It quickly became a

sustained, expensive and resource inefficient conflict and the economic strain on mainland Germany became evermore prevalent. The problem revolves back around to the matter of the production function, and the briefly mentioned diminishing returns. As time goes on, the returns on increased production decrease. In this conflict, not only did Germany suffer heavily diminished returns due to the length of the specific conflict, but they were already feeling the effects due to the many years of preparation that kickstarted the economic position the regime took on. Labour at this point would be minimal due to military conscription mandates, and what little labour was left would be exhausted from intense workdays in factories or fields, trying to make up for the lack of labour. This, combined with the loss of Land (in the form of natural resources) further decreases the possible levels of production within Germany. As a result, on the frontlines, the need for supplies increased, yet the capacity of conquered territories to provide them was much, much lower. This crisis thus necessitated the shift to total war production, most noticeable by efforts under Albert Speer, who attempted to achieve maximum output from the German industrial system via further forced labor and more centralised planning. Speer did in fact achieve increases in military production, but this last-ditch effort only served to confirm the illegitimacy of the original economic goal: the Nazi war machine was structurally engineered for a rapid continuum of profitable military victories, and lacked the much needed industrial depth and financial stability required to survive a longer war (Tooze, 2006).

Unwillingly committed to the goal of immediate war, the Nazi economy was forced to utilise propaganda to create the illusion of stability (as aforementioned) that was needed to suppress domestic consumption in favor of armament production, while also suppressing domestic civil unrest. The economic decision to metaphorically prioritise "guns over butter" was reframed as a patriotic necessity and as a shared sacrifice" for the general welfare of the German

population. Goebbels was somewhat successful in this aspect and maintained general public expectations by promising a future that was more prosperous than Germany had seen, and that suffering now meant luxury later. He claimed often that victory was inevitable, and justified the extreme suffering of the everyday citizens as an honourable sacrifice for the betterment of Germany. The regime also suppressed any and all public discussion of the economic strain being felt on the day-to-day. They did so by controlling all aspects of the media. Consequently, the public seemed to accept the rationing as they were perpetually assured that the war effort was successful and that the regime had everything under control, both domestically and on the front lines. The propaganda did more than just maintain the sense of nationalism felt before the strains of war. It also steered public dissent away from the flaws of the war machine, and instead pumped loyalty into places where the machine was underfueled. Nazi propaganda was "designed for mass persuasion by channeling human emotions (like fear and hope) towards the acceptance of specific Nazi party goals" (United States Holocaust Memorial Museum, 2011). In other words, propaganda served to cover up the flaws of the economic system (that was doomed to fail eventually) from the public. In fact, it not only covered up the flaws, but tried to turn them into rallying points for support for the regime.

Part IV: Conclusion

Unlike most traditional economies, the policies with which the Nazi regime and high ranking officials engaged were not created with the intention of general well-being as a base for a recovering nation looking for economic success. Rather, the policies were cogs as part of a larger machine that was the goal of Hitler: the pursuit of Lebensraum, and global domination through quick, harsh war. The policies used were engineered to be a machine of pure efficiency, using as much as possible to produce as much as possible with minimal waste. They were

cleverly designed to act as a facade of public works projects and employment boost attempts, most notably through the RAD, Four Year Plan, and the DAF (the organisation that suppressed free labour). Under the surface though, the hidden “New Plan”, MEFO bill scheme, revised trading policy, and extremist agendas posed by the Nazi Party’s leadership provided a base upon which the entire economy rested. As time progressed, these hidden agendas became obvious, and then surface-level when the war broke out officially. As evidenced by the total, all-out war, use-it-up strategy, and the lack of care for the general population (masked behind nationalist propaganda), the Nazi regime cared only for using the economy as a tool to serve their military goals. The burning building of an economy which the Nazis both created and ran headfirst into, was nothing more than an economic calculus in which human suffering was utilised to generate “profit” to sustain a self-destructing machine - ultimately demonstrating that a system built on debt, lies, and illicit (yet also legal) activity is not a model suitable for actual, realistic recovery in developing nations. Nor does it provide a blueprint to be followed by modern economies bracing for all-out war. Rather, we should look to this model as an example of what imminent destruction on a global scale looks like.

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